**RESOLUTION No. 7121**

Impose Taxes and Adoption of the 2025-26 Budget for School District No. 1J, Multnomah County, Oregon

**RECITALS**

A. Oregon Local Budget Law, Oregon Revised Statute (ORS) 294.428 requires that each legal jurisdiction's Budget Committee approves a budget and specifies the *ad valorem* property tax amount or rate for all funds.

B. The Board of Education (Board) serves as the Budget Committee for the school district. The Board appointed a Community Budget Review Committee (CBRC) to review the Proposed Budget and current year expenditures of the existing Local Option Levy. The CBRC acts in an advisory capacity to the Board.

C. On April 29, 2025 the Board held a public comment session on the Proposed Budget.

D. On May 6, 2025, the Board, acting in its capacity as the Budget Committee, received testimony and a report on the current year Local Option Levy expenditures and testimony and recommendations from the CBRC.

E. On May 19, 2025, by way of Resolution No.7116, and under the provisions of Oregon Local Budget Law (ORS Chapter 294), the Budget Committee for School District No. 1J, Multnomah County, Oregon ("District"), approved the 2025-26 budget, tax for Bonded Debt Levy and tax rates.

F. Oregon Budget Law, ORS 294.431, requires submission of the budget document to the Tax Supervising Conservation Commission (TSCC) by May 15 of each year. ORS 294.431 allows taxing jurisdictions to request an extension of the submission date. Portland Public Schools ("PPS") applied for, and was granted an extension to this deadline, and submitted the PPS budget to TSCC as required.

G. The TSCC held a public hearing on the Approved Budget on June 10, 2025.

H. ORS 457.445 (6) (d) provides the opportunity for a school district to be excluded from urban renewal division of tax calculations with a statutory rate limit on July 1, 2003 that is greater than $4.50 per $1,000 of assessed value. To the extent that the rate limit was increased under section 11 (5) (d), Article XI, of the Oregon Constitution, property tax revenue from said increase is excluded from local revenues. The District will notify the county assessors of the rate to be excluded for the current fiscal year no later than July 15.

I. Portland Public Schools has a statutory rate limit that is in excess of the $4.50 limitation that includes an increase under section 11 (5)(d), Article XI, of the Oregon Constitution.

**RESOLUTION**

1. The Board of Directors of School District 1J, Multnomah County, Oregon, hereby adopts the budget for fiscal year 2025-26 in the total amount of $2,035,116,552. This budget is on file at Portland Public Schools central office, 501 N Dixon St, Portland, Oregon 97227.

2. The Board of Directors of School District 1J, Multnomah County, Oregon, hereby appropriates for the fiscal year beginning July 1, 2025, the amounts summarized by fund and function in Attachment A for the fiscal year 2025-26.

3. The Board resolves that the District hereby imposes the taxes provided for in the adopted budget and that these taxes are hereby imposed and categorized for purposes of Article XI, section 11 (b), for tax year 2025-26 upon the assessed value of all taxable property in the District, as follows:

| Type | Education Limitation | Excluded from Limitation |
|---|---|---|
| Permanent Rate Tax Levy | $5.2781/$1,000 of assessed valuation | |
| Local Option Rate tax Levy | $1.9900/$1,000 of assessed valuation | |
| Bonded Debt Levy | | $181,000,000 |

4. The Board further resolves that $0.5038 per $1,000 of taxable assessed value is excluded from the division of tax calculations, as the Permanent Rate Tax Levy attributable to the increase provided in section 11 (5)(d), Article XI, of the Oregon Constitution (such increase is a result of the expiring Gap Tax Levy). The District will notify the county assessors that, for the 2025-26 fiscal year, $0.5038 of the District's permanent tax rate levy is to be excluded from the urban division of tax calculations under the provisions of ORS 457.445 (6) (d).

# Portland Public Schools

## Adjustments to the 2025-26 Proposed Budget

## May 19, 2025

(in thousands)

| | Proposed Budget | Adjustment | Recommended Approved Budget |
|---|---|---|---|
| **100 - General Funds** | | | |
| **Resources** | | | |
| Beginning Fund Balance | 45,000 | - | 45,000 |
| Local Property and Other Taxes | 359,464 | - | 359,464 |
| Local Option Taxes | 109,222 | - | 109,222 |
| Other Local Sources | 25,831 | - | 25,831 |
| County and Intermediate Sources | 7,847 | - | 7,847 |
| State Sources | 297,191 | - | 297,191 |
| Federal Sources | 15 | - | 15 |
| Tranfers In | 23,962 | - | 23,962 |
| Other | 50 | - | 50 |
| Total | 868,580 | 0 | 868,580 |
| **Requirements** | | | |
| Instruction | 458,417 | - | 458,417 |
| Support Services | 347,191 | - | 347,191 |
| Enterprise and Community Svcs | 4,617 | - | 4,617 |
| Debt Service | 0 | - | 0 |
| Transfers of Funds | 17,176 | - | 17,176 |
| Contingency | 41,179 | - | 41,179 |
| Total | 868,580 | 0 | 868,580 |
| **200 - Special Revenue Funds** | | | |
| **Resources** | | | |
| Beginning Fund Balance | 39,008 | - | 39,008 |
| Property and Other Taxes | 373 | - | 373 |
| Other Revenue from Local Sources | 15,497 | - | 15,497 |
| Intermediate Sources | 2,468 | - | 2,468 |
| State Sources | 95,383 | - | 95,383 |
| Federal Sources | 70,460 | - | 70,460 |
| Interfund Transfers | 1,616 | - | 1,616 |
| All Other Resources | - | - | - |
| Total | 224,805 | 0 | 224,805 |
| **Requirements** | | | |
| Instruction | 86,733 | - | 86,733 |
| Support Services | 77,509 | - | 77,509 |
| Enterprise and Community Svcs | 36,551 | - | 36,551 |
| Facilities Acquisition and Construction | 50 | - | 50 |
| Transfer of Funds | 23,962 | - | 23,962 |
| Contingency | - | - | - |
| Unappropriated Ending Fund Balance | - | - | - |
| Total | 224,805 | 0 | 224,805 |
| **300 - Debt Service Funds** | | | |
| **Resources** | | | |

| | | | |
|---|---|---|---|
| Beginning Fund Balance | 3,242 | - | 3,242 |
| Property and Other Taxes | 171,552 | - | 171,552 |
| Other Revenue from Local Sources | 97,277 | - | 97,277 |
| Interfund Transfers | 619 | - | 619 |
| Total | 272,690 | 0 | 272,690 |
| | | | |
| **Requirements** | | | |
| Debt Service | 272,690 | - | 272,690 |
| Contingency | - | - | - |
| Unappropriated Ending Fund Balance | - | - | - |
| Total | 272,690 | 0 | 272,690 |
| | | | |
| **400 - Capital Projects Funds** | | | |
| **Resources** | | | |
| Beginning Fund Balance | 514,705 | - | 514,705 |
| Other Revenue from Local Sources | 11,477 | - | 11,477 |
| Intermediate Sources | - | - | - |
| State Sources | 2,000 | - | 2,000 |
| Bond Proceeds & Premiums | - | - | - |
| Interfund Transfers | 1,000 | - | 1,000 |
| All Other Resources | 114,591 | - | 114,591 |
| Total | 643,773 | 0 | 643,773 |
| | | | |
| **Requirements** | | | |
| Support Services | 1,995 | - | 1,995 |
| Enterprise and Community Svcs | 1,301 | | 1,301 |
| Facilities Acquisition and Construction | 639,859 | - | 639,859 |
| Debt Service | 0 | - | 0 |
| Transfers of Funds | 619 | - | 619 |
| Total | 643,773 | 0 | 643,773 |
| | | | |
| **600 - Internal Service Funds** | | | |
| **Resources** | | | |
| Beginning Fund Balance | 6,500 | - | 6,500 |
| Other Revenue from Local Sources | 4,209 | - | 4,209 |
| Transfers of Funds | 14,560 | - | 14,560 |
| Total | 25,269 | 0 | 25,269 |
| | | | |
| **Requirements** | | | |
| Support Services | 24,769 | - | 24,769 |
| Contingency | 500 | - | 500 |
| Total | 25,269 | 0 | 25,269 |
| | | | |
| **All Funds Total** | 2,035,117 | 0 | 2,035,117 |